

6 Patterns. That's All You Need.

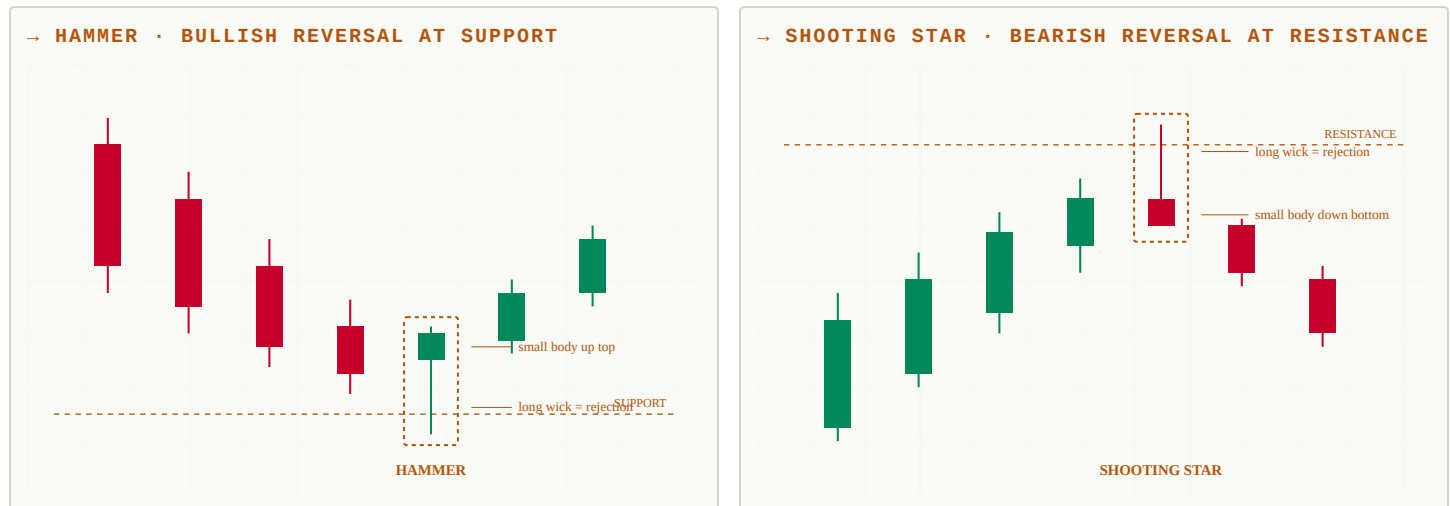
The only candle patterns worth memorizing for scalping
NQ, RTY, and M2K – high frequency, real edge, no
noise.

01	Pin Bar	Reversal • 1 candle
02	Engulfing	Reversal • 2 candles
03	Morning / Evening Star	Reversal • 3 candles
04	Inside Bar	Continuation
05	Marubozu	Momentum
06	Doji	Warning / indecision

Master these six. Ignore the rest of the candlestick book. The
pattern is never the edge – the **context** is the edge.

The Pin Bar

Hammer (bottom) · Shooting Star (top) – the rejection candle



WHAT YOU'RE LOOKING AT

A candle where the body is small and sits in the top or bottom third, with a **wick at least 2× the size of the body** on the opposite end. It doesn't matter if the body is green or red – what matters is where it closes relative to the wick.

PSYCHOLOGY — WHY IT WORKS

Price tried to extend the move. Someone – usually big money – stepped in hard and rejected it back to where it started. The long wick is the footprint of that fight, and the small body shows who won. On a 2-min chart this often signals a 30-60 minute swing.

TRADE PLAN

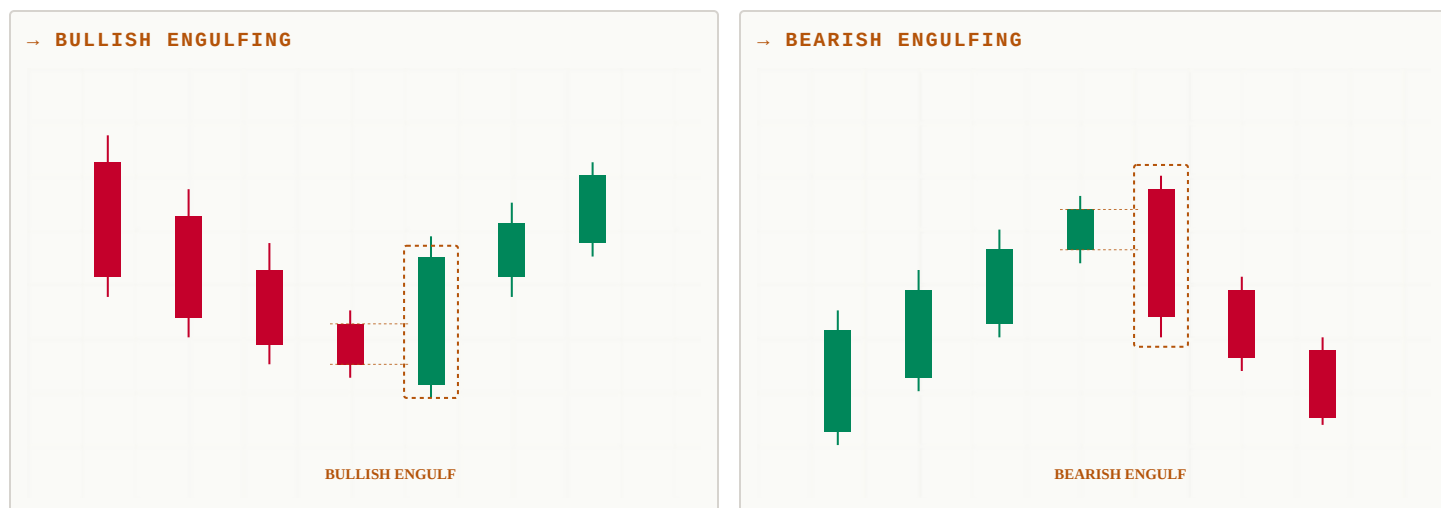
ENTRY	STOP	TARGET
Buy stop 1-2 ticks above hammer high (or sell stop below shooting star low)	1-2 ticks below hammer low (or above shooting star high)	Min 1.5:1 R:R, or next 5-min S/R level

CONFLUENCE — ONLY TRADE PIN BARS WITH AT LEAST 2 OF THESE

- + At a clear support / resistance level visible on the 5-min or 15-min chart
- + At a key moving average (VWAP, 20 EMA, 200 EMA)
- + At a Fibonacci level (50%, 61.8%, 78.6%)
- + After an extended move (not in chop)
- + Volume spike on the pin bar itself

Engulfing

Two-candle complete sentiment flip



WHAT YOU'RE LOOKING AT

Two candles where the **second candle's body completely covers the first candle's body**. The second opens beyond the prior close and closes beyond the prior open. Wicks don't matter – only the bodies.

PSYCHOLOGY — WHY IT WORKS

The first candle represents one side's last stand. The engulfing candle is the other side overpowering them completely in a single 2-minute window. It's the cleanest possible signal of a sentiment shift – buyers (or sellers) suddenly arrived in size.

TRADE PLAN

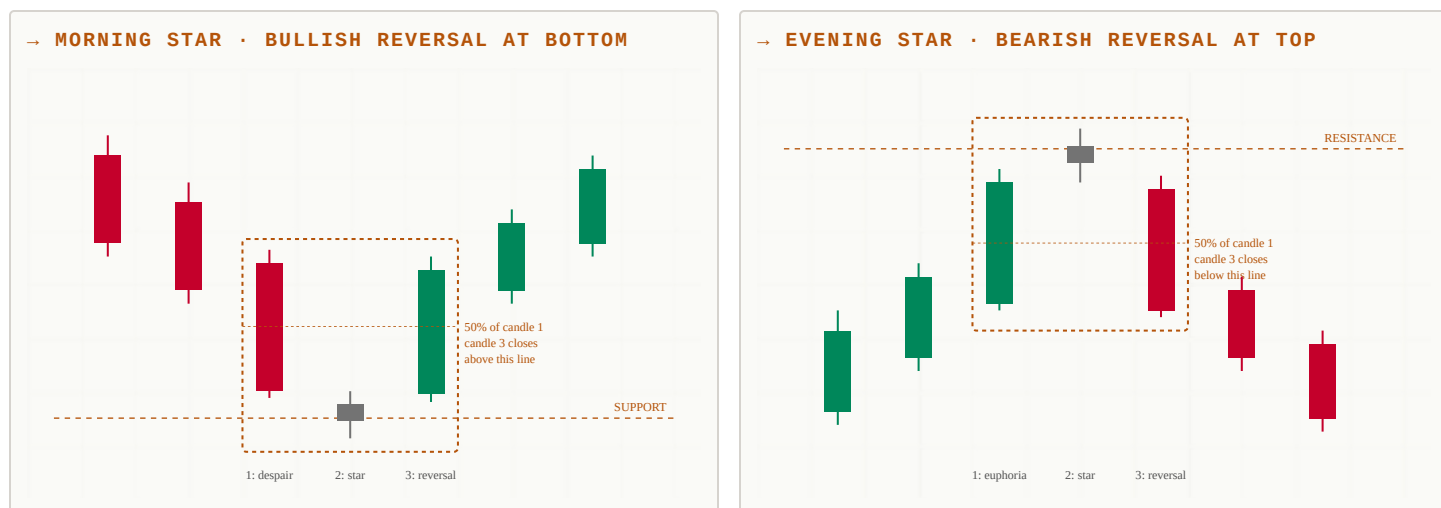
ENTRY	STOP	TARGET
Market at close of engulfing candle (aggressive), or break of its high/low (safer)	Opposite end of engulfing candle – above the wick high or below the wick low	1.5-2× the engulfing candle's own range, or next structure

CONFLUENCE — ONLY TRADE ENGULFINGS WITH THESE

- + At a clear S/R level (most important)
- + Volume on the engulfing candle is noticeably larger than the prior 5-10 candles
- + After a clear preceding move – not in chop
- + Higher timeframe (15-min) trend agrees with the engulf direction
- + The engulfing body is at least 1.5× the prior body – bigger is better

Morning / Evening Star

Three-candle reversal – the textbook bottom & top



WHAT YOU'RE LOOKING AT

Three candles telling a complete reversal story: **(1)** a large candle continuing the prior trend, **(2)** a small-body candle (the "star") showing exhaustion, and **(3)** a large opposite-direction candle that closes **past the midpoint of candle 1's body**. The deeper candle 3 penetrates candle 1, the stronger the signal.

PSYCHOLOGY — WHY IT WORKS

This is the only pattern in the set that shows the full sentiment shift across three time periods: dominance → exhaustion → reversal. That extra step of confirmation gives it slightly higher reliability than engulfing – but it's slower (you wait for candle 3 to complete), so you trade some R:R for that confirmation.

TRADE PLAN

ENTRY	STOP	TARGET
Market at close of candle 3, or break of candle 3 high (conservative)	Below the low of candle 2 (the star) – tightest stop in the set	Min 1.5:1 R:R, previous swing high / next structure

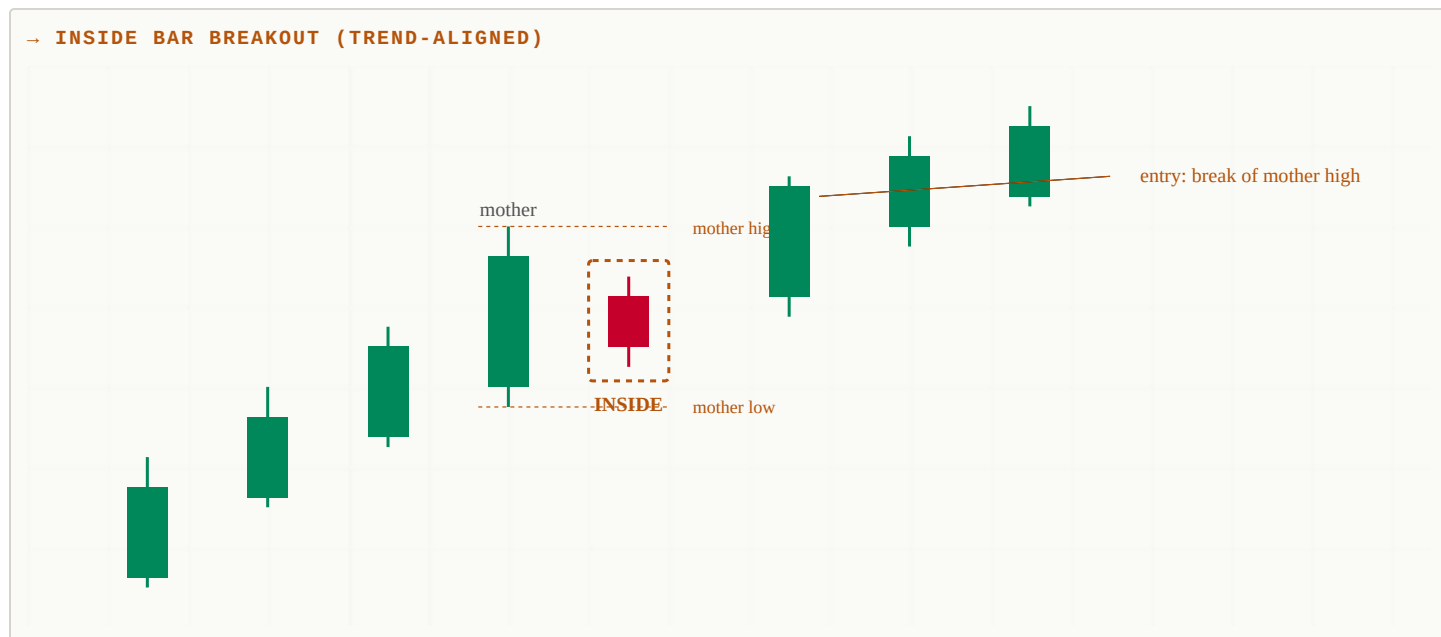
CONFLUENCE — WHEN A MORNING STAR ACTUALLY WORKS

- + **Candle 3 closes more than 50% into candle 1 body** – the deeper, the better
- + At a clear support level (or resistance for evening star)
- + Volume expansion on candle 3 – without it, the move lacks conviction
- + After an extended decline (4+ red candles) – not in chop
- + If candle 2 is a doji, the signal is stronger (called a "Morning Doji Star")
- + Higher timeframe doesn't disagree

Inside Bar

Compression before the breakout

→ INSIDE BAR BREAKOUT (TREND-ALIGNED)



WHAT YOU'RE LOOKING AT

A "mother" candle followed by a smaller candle whose entire range – high AND low – is completely **inside** the mother's range. The market paused. Volatility compressed. A move is coming.

PSYCHOLOGY — WHY IT WORKS

After a big candle, the market takes a breath. Buyers and sellers reach a temporary truce inside the prior range. But compression is a spring being loaded – eventually one side breaks the deadlock and the move resumes. In trends, the break usually goes in the trend's direction.

TRADE PLAN

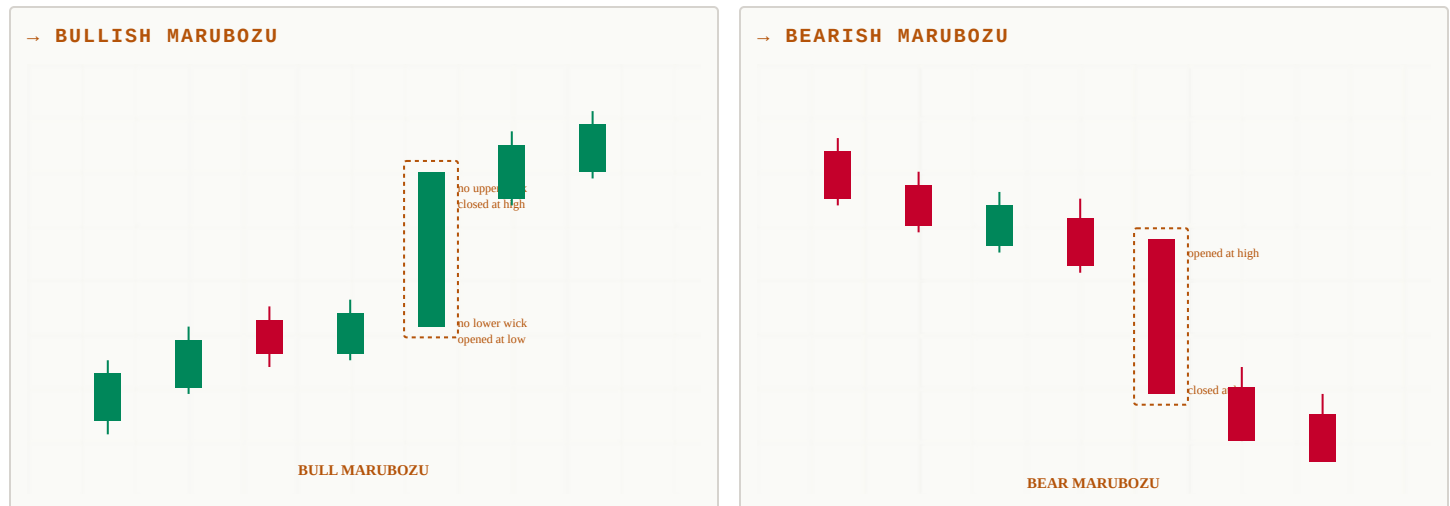
ENTRY	STOP	TARGET
Buy stop above mother high (long), or sell stop below mother low (short)	Opposite side of mother bar (or below inside bar for tighter stop)	Project mother bar's range from breakout point – 1.5-2× usually clean

CONFLUENCE — THESE TURN INSIDE BARS INTO EDGE

- + **Trade with the trend** – single biggest factor; counter-trend inside bars fail often
- + Inside bar at a known S/R level (compressing AT a level = explosive breakout potential)
- + Multiple inside bars in a row (nested compression = bigger move when it pops)
- + Inside bar after a strong trending move on 5-min chart
- + Mother bar was a momentum candle (large body, small wicks)

Marubozu

No wicks. Pure conviction. The momentum signal.



WHAT YOU'RE LOOKING AT

A candle with a **tall body and little to no wicks on either end**. Opens at one extreme, closes at the other. Nobody pushed back. Pure one-sided conviction over the entire 2 minutes.

PSYCHOLOGY — WHY IT WORKS

When buyers (or sellers) own a candle bell-to-bell with no pushback, momentum almost always carries into the next few candles. This is the "the freight train is moving" pattern. Don't fight it – ride it.

TRADE PLAN

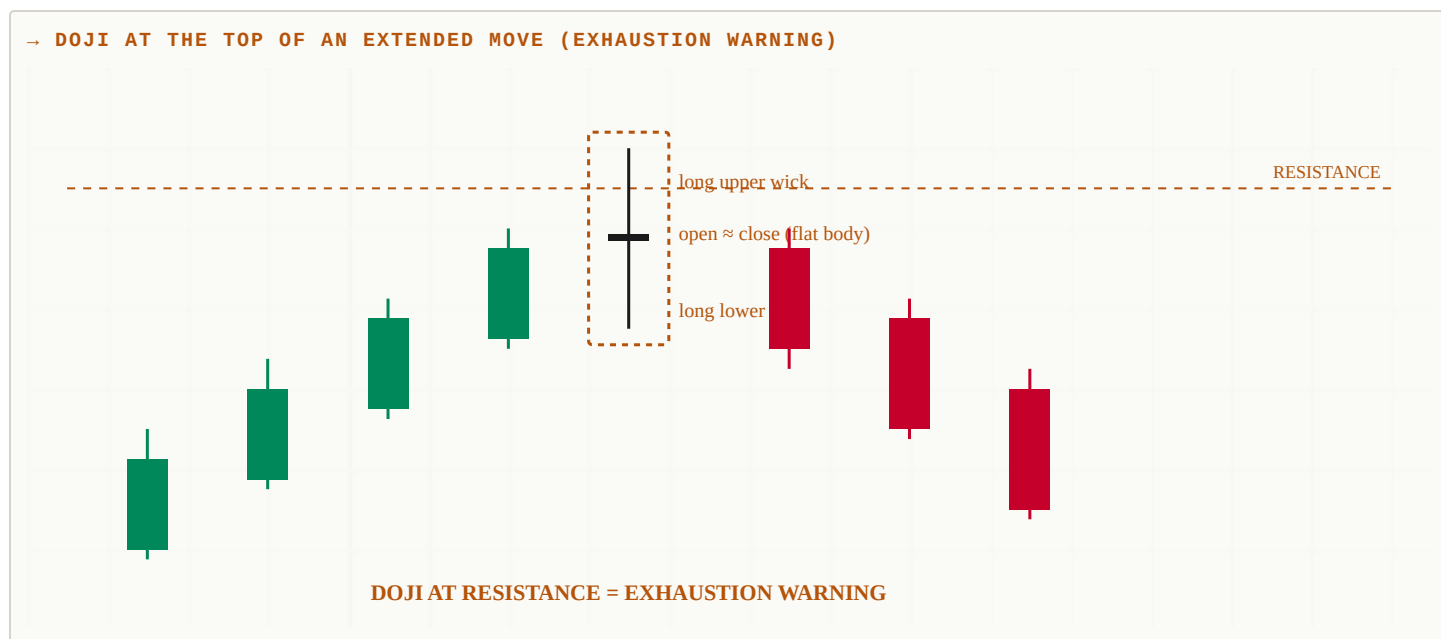
ENTRY	STOP	TARGET
Aggressive: market at close of marubozu. Conservative: pullback to its midpoint	Opposite end of the marubozu – stops are wider, size down accordingly	1× marubozu range minimum. Trail behind structure for runners

CONFLUENCE — WHEN TO TRUST A MARUBOZU

- + It's in the direction of the higher-timeframe trend
- + It's a **breakout candle** – clearing a key level you've been watching
- + Volume on the marubozu is well above average
- + It comes after consolidation (compression → release = high probability move)
- + **Caution:** a marubozu at the END of an extended move can be exhaustion. Don't chase parabolic marubozus.

Doji

The indecision candle – a warning, not a signal



WHAT YOU'RE LOOKING AT

A candle where **open and close are essentially equal** – the body is just a horizontal line. Wicks can be long on top, bottom, or both. It means buyers and sellers were perfectly balanced over the candle.

PSYCHOLOGY — AND THE KEY RULE

A doji is **indecision frozen in time**. In chop, it means nothing – there are hundreds on every 2-min chart. But at the **end of an extended trend** or right at a key level, a doji warns: the trend has lost conviction.

Never trade the doji itself. You wait for the NEXT candle to break the doji's high or low – that's your trigger.

TRADE PLAN

ENTRY	STOP	TARGET
Break of doji's low (short) or high (long) on the NEXT candle	Opposite end of doji's wick – beyond high (short) or below low (long)	1.5-2× doji's wick-to-wick range, or nearest structure

CONFLUENCE — WHEN A DOJI ACTUALLY MATTERS

- + **After a clear extended move** – 4+ candles in one direction. Not in chop.
- + At a major S/R level, prior swing, or round number
- + At VWAP or a key MA on the 5/15-min
- + Long upper wick + at resistance = especially bearish (rejection doji)
- + Volume spike on the doji = real fight happened – credible signal

Quick Reference

All six patterns side by side · for the trading station wall

PATTERN	TYPE	TRADE ON	BEST CONTEXT	EDGE
Pin Bar	Reversal · 1 candle	Break of pin high/low	At S/R or key MA	~70%
Engulfing	Reversal · 2 candles	Close of engulf, or high/low break	End of move at level w/ volume	~72%
Morning/Evening Star	Reversal · 3 candles	Close of candle 3	Candle 3 closes >50% into candle 1	~75%
Inside Bar	Continuation	Break of mother high/low	In a trend, after momentum candle	~65%
Marubozu	Momentum	Close, or pullback to mid	Breakout direction with volume	~68%
Doji	Warning	NEXT candle breaks doji high/low	At extreme of move or key level	~65%

The mental shortcut — read every candle with 3 questions

- 1 Is there a long wick? → Pin bar territory. Someone got rejected.
- 2 Did the body completely cover (or get covered by) the prior body? → Engulfing.
- 3 Is the body tiny / a flat line? → Star (if at extreme) or doji (if in chop).

If none of these → it's a regular candle. Inside bar = candle is contained inside the previous one's range. Marubozu = candle has no wicks. Those two you spot by structure, not by shape.

THE ONE RULE THAT MATTERS

The pattern is never the edge. The **context** is the edge.
A pin bar in chop is noise. A pin bar at the 200 EMA with volume after a 10-bar push is a layup. Same shape. Different trade.